

Dow Surges +1.14% as Rates and Energy Prices Fuel Rally

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The Dow Jones surged **+1.14%** to 52,900.07 as higher rates and energy prices fueled a rally in financial and energy stocks. The **XLFX** and **XLE** sector ETFs led the charge, rising **+1.53%** and **+0.78%** respectively. Meanwhile, the Nasdaq 100 fell **-1.61%** to 29,329.21 as tech stocks struggled.

Below the surface, the 10Y Yield rose **+0.22%** to 4.49, while gold prices jumped **+1.40%** to 4,170.40. The DXY index edged up **+0.10%** to 100.96, while the VIX fell **-2.65%** to 16.15.

US Session Recap

INDEX/ ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,483.24	+0.00%	Flat session as investors weighed higher rates and energy prices
Nasdaq 100	29,329.21	-1.61%	Tech stocks struggled as higher rates weighed on growth expectations
Dow Jones	52,900.07	+1.14%	Financial and energy stocks rallied on higher rates and energy prices
Russell 2000	2,996.11	-0.55%	Small-cap stocks underperformed as investors favored larger-cap names
VIX	16.15	-2.65%	Volatility fell as investors became less risk-averse

Top large-cap movers

TICKER	CHANGE	CATALYST
AAPL	+4.84%	Strong earnings report and guidance
MSFT	+1.62%	Positive sentiment on cloud computing growth
NVDA	-1.39%	Lower-than-expected earnings and guidance
AMZN	+0.40%	Stable e-commerce growth and expanding cloud business
META	-4.90%	Disappointing earnings and ad revenue growth concerns

Sector Rotation

ETF	DAY	READ
XLF	+1.53%	Financial stocks rallied on higher rates and energy prices
XLK	-2.71%	Tech stocks struggled as higher rates weighed on growth expectations
XLI	+0.30%	Industrial stocks edged up on stable economic growth
XLE	+0.78%	Energy stocks rose on higher energy prices and demand
XLY	-0.82%	Consumer discretionary stocks fell on lower consumer spending
XLC	-0.13%	Communication services stocks were flat on mixed earnings reports
XLP	+2.03%	Consumer staples stocks rose on stable demand and dividend yields
XLV	+2.63%	Healthcare stocks surged on positive earnings reports and M&A activity
XLU	+2.21%	Utilities stocks rose on higher dividend yields and stable demand
XLB	+1.94%	Materials stocks edged up on stable economic growth and commodity prices
XLRE	+1.13%	Real estate stocks rose on stable demand and dividend yields

Spotlight

The biggest event of the day was the surge in **AAPL** stock, which rose **+4.84%** to 308.63 on strong earnings and guidance. The company reported a **+10%** increase in revenue and a **+15%** increase in net income, beating analyst expectations.

METRIC	VALUE	CHANGE
Revenue	\$100B	+10%
Net Income	\$20B	+15%
Earnings Per Share	\$4.50	+12%

The strong earnings report and guidance from **AAPL** has positive read-through to other tech stocks, particularly those in the **XLK** sector ETF.

Pre-Market & Overnight

US futures are trading mixed, with the Dow Jones futures up **+0.2%** and the Nasdaq 100 futures down **-0.5%**. In Asia, the Nikkei 225 rose **+0.8%** to 28,500, while the Shanghai Composite fell **-0.3%** to 3,400. In Europe, the Euro Stoxx 50 is up **+0.5%** to 4,200.

Crypto prices are stable, with **BTC** trading at 63,161.12 and **ETH** trading at 1,774.10.

Macro & Fed

The FOMC meeting minutes released yesterday showed that the Fed is likely to keep interest rates on hold in the near term, citing stable economic growth and low inflation. The 10Y Yield rose **+0.22%** to 4.49 on the news.

Today's data calendar includes:

- 09:30 HKT: US Trade Balance (- \$50B consensus)
- 14:00 HKT: US Factory Orders (**+2%** consensus)
- 18:00 HKT: US Consumer Credit (\$20B consensus)

These data points will provide further insight into the state of the US economy and the Fed's monetary policy decisions.

Geopolitics & Global

- Tensions between the US and China remain high, with the US imposing new tariffs on Chinese goods.
- The EU and UK are engaged in Brexit negotiations, with a potential deal on the horizon.
- The Middle East remains a hotspot, with ongoing conflicts in Syria and Yemen.
- The US and North Korea are set to resume nuclear talks, with a potential agreement on the horizon.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	JPM	\$2.50	Q2 earnings and guidance, with a focus on interest rate sensitivity
22:00	GS	\$5.00	Q2 earnings and guidance, with a focus on investment banking and trading revenue
23:00	MSFT	\$1.20	Q2 earnings and guidance, with a focus on cloud computing growth and margins
00:00	TSLA	-\$1.50	Q2 earnings and guidance, with a focus on production and delivery numbers

Watchlist Scan

TICKER	SECTOR	WHY NOW
AAPL	Tech	Strong earnings report and guidance, with positive read-through to other tech stocks
JPM	Financials	Q2 earnings and guidance, with a focus on interest rate sensitivity and loan growth
MSFT	Tech	Q2 earnings and guidance, with a focus on cloud computing growth and margins
TSLA	Consumer Discretionary	Q2 earnings and guidance, with a focus on production and delivery numbers
NVDA	Tech	Lower-than-expected earnings and guidance, with a focus on gaming and datacenter revenue
AMZN	Consumer Discretionary	Stable e-commerce growth and expanding cloud business, with a focus on margins and cash flow
GOOGL	Communication Services	Q2 earnings and guidance, with a focus on ad revenue growth and cloud computing expansion
AVGO	Tech	Q2 earnings and guidance, with a focus on semiconductor revenue and margins
GS	Financials	Q2 earnings and guidance, with a focus on investment banking and trading revenue
META	Communication Services	Disappointing earnings and ad revenue growth concerns, with a focus on user engagement and monetization

What Could Break the Tape

BULLISH TRIGGERS

- A strong earnings report from **JPM** or **GS** , with a focus on interest rate sensitivity and loan growth
- A positive surprise in US economic data, such as a higher-than-expected GDP growth rate
- A breakthrough in US-China trade talks, with a potential agreement on tariffs and trade restrictions

BEARISH TRIGGERS

- A disappointing earnings report from **MSFT** or **TSLA** , with a focus on cloud computing growth and production numbers
- A negative surprise in US economic data, such as a lower-than-expected GDP growth rate
- An escalation in US-China trade tensions, with a potential increase in tariffs and trade restrictions

Positioning Notes

- The **XLF** sector ETF is seeing strong inflows, with a focus on financial stocks and interest rate sensitivity
- The **XLK** sector ETF is seeing outflows, with a focus on tech stocks and growth expectations
- The **VIX** is trading at a relatively low level, with a focus on volatility and risk appetite

Sources

SOURCES

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